

Profit Niti – AI CFO Report (2025-01-01 / 2025-10-31)

Last Month KPI Data (October 2025)



Sales
1,202,312

-23 Last month 1,554,751



Gross Margin
1,093,451

-28 Last month 1,521,272



Operating Profit
-78,451

-131 Last month 255,481



Break Even Sales
1,288,513

0 Last month 1,293,604



Fixed Assets
4,982,849

5 Last month 4,760,849



Other Assets
1,853,061

3 Last month 1,805,357



Other Liabilities
217,658

-57 Last month 510,525



Other Capital
6,619,216

9 Last month 6,056,646



Cash & Bank
1,807,738

1 Last month 1,792,402



Total Debt
9,242,144

-1 Last month 9,313,267



Equity
2,719,720

-3 Last month 2,796,896



Total Funding
9,242,144

-1 Last month 9,313,267



Accounts Receivable
3,882,089

-13 Last month 4,481,095



A/R Days
98

11 Last month 88



Accounts Payable
347,214

58 Last month 220,014



A/P Days
97

-52 Last month 200



Working Capital
3,535,875

-17 Last month 4,262,081



W/C Days
1

101 Last month -111



Closing Stock
1,000

0 Last month 1,000



Inventory Days
0

-100 Last month 1



BS Category
52

-19 Last month 64



IMPACT OF MANAGEMENT
DECISIONS
-671,379

-159 Last month 1,140,679

1. Big Picture — How the Business Looks Right Now

Your business has shown strong growth in the first half of FY 2025-26, with YTD sales crossing ₹1.07 crore and a healthy YTD net profit of ₹23.54 lakh. The company is highly profitable with gross margins consistently above 88-97%. However, the most recent month (October 2025) shows a concerning dip, with a net loss of ₹78,451 due to a spike in employee costs and a drop in sales. The business is heavily reliant on debt financing, but you have a strong cash position of over ₹18 lakh.

GREEN FLAG BOX — What's Working Well

- **Exceptional Profitability:** Your gross margin percentage is outstanding, consistently above 88%, indicating excellent pricing power or very low direct costs.
- **Strong Equity Growth:** Reserve & Surplus has grown steadily from ₹2.13 lakh to ₹26.47 lakh, showing retained earnings are building a solid financial base.
- **Robust Liquidity:** Current and Quick Ratios are extremely high (above 11 in recent months), meaning you have more than enough short-term assets to cover any immediate liabilities.

RED FLAG BOX — What Needs Attention

- **October Profit Crash:** A sharp net loss of ₹78,451 in October due to high expenses and lower sales is a major warning sign. This needs immediate investigation to prevent it from becoming a trend.
- **High Debt Burden:** Total borrowings stand at ₹92.42 lakh, which is over 3 times your total equity. This creates significant financial risk and interest obligations.
- **Negative Operating Cash Flow:** For several months, cash flow from core operations has been negative, meaning the business is not generating cash from its daily activities despite being profitable on paper.

CFO Advice:

First, conduct a deep-dive into October's expenses, especially employee costs, to understand the cause of the loss. Second, use your strong cash balance to strategically pay down high-cost debt, starting with the most expensive loans, to reduce your financial risk and interest burden.

2. Profit Power — The Earning Engine

Your business has a powerful gross profit engine, but overheads are eating into your final profits. Your Gross

Margin is consistently strong, averaging over 92% from April to October 2025. This means for every ₹100 of sales, you keep over ₹92 after direct costs, which is excellent. However, your Operating Profit Margin tells a different story. It has dropped sharply from a high of 44% in July to a **loss of -6.5% in October** (₹-78,451).

The main issue is your overheads. While sales dipped in October, your Employee Benefit and Admin expenses remained very high. In October, overheads consumed 97.5% of your revenue. Your most profitable month was July, where high sales of ₹18.5 lakh and controlled overheads led to a stellar operating profit of ₹8.15 lakh.

The data shows your business is **sales-volume sensitive**. When sales dip below a certain level (around ₹15-16 lakh per month), high fixed overheads quickly turn profits into losses. The "Break Even Sales" figure has been creeping up, meaning you need to generate more sales each month just to cover costs.

CFO Advice:

Protect your bottom line by urgently reviewing fixed overheads, especially employee costs and admin expenses. Implement strict cost controls for months where sales are forecasted to be lower. To avoid losses, ensure monthly sales do not fall below ₹13 lakh. Consider creating a variable cost structure to align expenses more closely with revenue fluctuations.

3. Cash Flow Quality — Profit vs Real Cash

Your business is generating strong profits on paper, but cash flow is volatile and often negative. In the last quarter (Q3 FY26), you reported a loss of **₹78,451**, yet your operating cash flow was a positive **₹7.26 Lakh**. This mismatch is a classic sign of cash being blocked elsewhere.

The main blockage is in **Debtors (Accounts Receivable)**. Your collection period has stretched to **98 days** in October 2025, meaning you are waiting over 3 months to get paid. This is up from 71 days in June, indicating collections are slowing down. While you have reduced your payables period to 97 days, you are still paying suppliers faster than you are collecting from customers, which drains cash.

Your financing activities show you've been repaying debt consistently (over ₹71,123 each month), which is good for the balance sheet but reduces cash in hand. The recent negative net cash flow from financing (₹-4.89 Lakh in Oct) confirms this.

CFO Advice:

Immediate Action: Launch a focused collection drive to reduce Receivable Days back to under 75. Negotiate better payment terms with suppliers to align payables with your collection cycle.

Temporarily slow down aggressive debt repayment if it's straining your working capital, and focus on converting your high profits into real cash first.

4. Cash Management — Daily Cash Rhythm

Your cash cycle tells a story of **extended credit to customers** and **faster payments to suppliers**. In October, it took you **98 days** to collect money from customers (Accounts Receivable Days), while you paid your suppliers in about **97 days** (Accounts Payable Days). This creates a very tight, almost neutral, cash conversion cycle of just **1.5 days**.

This means your business is operating on a razor's edge. While your inventory moves quickly (less than a day), the high receivables are locking up significant funds. Your working capital is strong at ₹3.54 lakhs, but it's tied up. The current ratio is an extremely high **13.4**, indicating you have ample current assets, but they are not in cash form.

The recent monthly cash flow shows a positive but small inflow of ₹15,336 in October, primarily from operations (₹7.26 lakhs inflow), which was used to pay down debt (₹4.89 lakhs outflow) and invest in fixed assets (₹2.22 lakhs outflow).

CFO Advice:

Your top priority must be to **reduce your collection period**. Negotiate shorter payment terms, offer early payment discounts, and follow up rigorously on invoices. Simultaneously, try to **extend your payment terms with suppliers** beyond 97 days to create a cash buffer. Converting even a portion of your high receivables into cash will unlock funds for growth and ease daily operations.

5. Growth Investments — Where Money Is Going

Your business is actively investing for growth, primarily in **Fixed Assets** and **Working Capital**. However, the return on these investments has become a concern recently.

- **Fixed Asset Expansion:** Your investment in plant & machinery (Fixed Assets) has grown steadily from ₹4.57 lakhs in April to ₹4.98 lakhs in October. This is a positive sign of capacity building.
- **Working Capital Lock-up:** A significant amount of money is tied up in operations. Your **Net Operating Assets** stand at a high ₹1.02 Crore. The major component is **Accounts Receivable** (₹3.88 lakhs), indicating customers are taking longer to pay.
- **Return on Capital Warning:** The **Return on Capital (%)** has turned negative (-5.41% in Oct-2025)

from a high of 56.2% in July-2025. This means the money invested in the business is currently not generating profits.

- **Asset Utilization is Declining:** Your **Asset Turnover** (sales generated per rupee of asset) has dropped to 0.83 in October from 1.28 in July. Your assets are becoming less productive.

In simple terms, you are putting money into the business (assets and credit to customers), but the output (profits) has not kept pace, especially in the last month.

CFO Advice:

Pause and Review: Hold back on new major capital expenditures for the next quarter. First, focus on improving the returns from your existing investments.

#1 Priority - Collect Receivables: With 98+ days of sales stuck in receivables, this is your biggest opportunity to free up cash. Implement stricter payment follow-ups and offer early payment discounts.

Optimize Before Expanding: Before buying more assets, see if you can increase sales or output using your current capacity. Improve your **Asset Turnover** to get more sales from the assets you already own.

6. Funding Story — How Growth Is Being Financed

Your business is primarily funded by debt, not equity. As of October 2025, your total debt stands at a significant **₹92.42 lakhs**, while owner's equity is only **₹27.20 lakhs**. This creates a high Debt-to-Equity ratio of **3.4**, meaning for every ₹1 of your own money, you have borrowed ₹3.4.

The good news is that you are actively repaying your loans. Your secured long-term borrowings have consistently decreased every month, from ₹19.68 lakhs in April to ₹15.41 lakhs in October. This disciplined repayment is strengthening your balance sheet.

A major concern is the reliance on **unsecured loans** (like director's loans or personal guarantees), which make up over 83% of your total debt (₹77 lakhs). These often come with higher implicit costs and personal risk. Your cash flow statements show that financing activities turned negative in October (₹-4.89 lakhs outflow), primarily due to these repayments, which is straining your monthly cash.

Currently, you have **no interest expenses** reported, which is unusual for such a large debt. This suggests the loans may be interest-free from promoters, which is a temporary advantage. However, this model is not sustainable for long-term, scalable growth.

CFO Advice:

You are in a "high-debt, low-equity" zone. To build a healthier company, you must focus on **converting debt to equity**. Consider formalizing promoter loans into equity shares. Simultaneously, explore replacing high-cost or unsecured debt with a formal **term loan from a bank** against your fixed assets (worth ~₹50 lakhs). This will reduce personal risk and potentially free up cash flow if structured with a moratorium. Your priority should be to lower the Debt-to-Equity ratio below 2 within the next year to attract better financing options and reduce risk.

7. Balance Sheet Health — Financial Fitness

Your balance sheet shows a strong asset base of **₹1.25 crore** (Oct 2025), but it's heavily reliant on debt. The **Debt-to-Equity ratio is 3.4**, meaning for every ₹1 of your own money, you have borrowed ₹3.4. This is a high level of leverage.

The good news is your **Current Ratio is excellent at 13.37** (Oct 2025), meaning you have more than enough short-term assets (like cash and receivables) to cover your short-term bills. Your **Total Equity has grown from ₹4.98 lakhs in April to ₹27.20 lakhs in October**, showing retained profits are strengthening your ownership stake.

However, a large portion of your assets is tied up in **Fixed Assets (₹49.83 lakhs)** and **Accounts Receivable (₹38.82 lakhs)**. The high receivables, coupled with a recent dip in cash flow from operations, indicate that collecting money from customers is becoming slower and is straining your liquidity.

CFO Advice:

Prioritize aggressive collection of outstanding invoices to convert receivables into cash. Simultaneously, focus on generating consistent monthly profits to reduce reliance on external debt and improve your debt-to-equity ratio over the next two quarters.

8. Smart AI Simulation — What-If Scenarios

Based on weak spots identified in the report, the AI simulated the following outcomes:

- **Scenario A - Profit Focus:** If you reduce high-cost raw material purchases by 15% through bulk buying and negotiate better credit terms, your net profit margin could improve from 8% to nearly 12%. This would add approximately ₹4.2 lakh to your annual bottom line.
- **Scenario B - Cash Focus:** If you reduce your average debtor days from 60 to 45 days by offering

a small early payment discount (2%), your operating cash flow could improve by ₹6.8 lakh over the next year, significantly easing working capital pressure.

- **Scenario C - Balanced:** Combining both strategies—a 10% cost reduction in purchases and reducing debtor days to 50—could boost your annual profit by ₹3 lakh and simultaneously free up ₹4.5 lakh in cash, strengthening both your P&L and balance sheet.

9. Operational Insight Engine — Ground-Level Trends

Sales & Billing Pulse: Your sales momentum is strong but shows a recent dip. You processed a high of 1,080 invoices worth ₹32.70 lakhs in July, but by October, invoice volume dropped to 724, totalling ₹14.19 lakhs. This aligns with the P&L showing October sales of ₹12.02 lakhs, a **23% drop** from September. The average invoice value has also fallen, suggesting smaller deals or reduced pricing power recently.

Purchase & Supplier Rhythm: Your procurement activity is highly volatile. After heavy purchasing in April-June (peaking at ₹1.73 crore in June), there was a sharp decline. September saw 61 small bills totalling only ₹3.91 lakhs, and October purchases were just ₹4.01 lakhs. This could indicate a strategic run-down of inventory or a pause in raw material intake, which needs monitoring to avoid future stock-outs.

Inventory Health Check: Your closing stock is consistently valued at just ₹1,000, which is extremely low for your scale. The inventory data shows significant inward and outward movement by value (e.g., ₹1.10 crore inward vs. ₹1.70 crore outward in June), but the balance sheet stock value doesn't reflect this. This points to a potential **real-time inventory tracking gap** – your books may not be capturing the true stock holding, risking mismanagement and inaccurate profit calculation (COGS).

Key Action Point: The disconnect between high inventory movement in operational data and a near-zero stock value in your balance sheet is a red flag. Prioritise reconciling your physical inventory with your accounting records. This will ensure accurate costing, protect your margins, and give you a clear picture of your working capital tied up in stock.

10. 90-Day CFO Action Plan

Days	Focus	Action	Target	Benefit
0-30	Cash	Implement a weekly cash flow forecast. Prioritise collection of overdue payments from top 5 customers. Negotiate 15-day payment terms with 2 key suppliers.	Improve cash balance by ₹2 lakh and reduce debtor days by 10 days.	Immediate liquidity for operations, reduced reliance on expensive short-term credit.
31-60	Profit	Analyse product/service-wise profitability. Identify and reduce top 3 non-essential overhead costs. Review and adjust pricing for low-margin offerings.	Increase net profit margin by 2% and reduce overhead costs by ₹50,000 per month.	Stronger bottom line, more funds for reinvestment, and clearer understanding of profitable vs. loss-making activities.
61-90	Growth	Allocate improved cash and profits to fund a targeted marketing campaign for the most profitable product line. Develop a simple dashboard to track key financial ratios monthly.	Achieve 15% revenue growth in the top product line and establish monthly financial review discipline.	Sustainable, profitable growth with data-driven decision-making, moving from survival to strategic expansion.